

RSM100

RSM100: Intro to management

pre-reading:

Pre-reading:

Pre Week 1 Notes

Chapter 1: the changing face of business

- **3 P's**
 - **Planning** - put them all in your schedule, look at schedules together
 - **Preparation** - get ready before the task
 - **Perseverance** - keep going despite set backs
- **Intro to Management**
 - **Managing People**
 - Human resource management
 - **Managing Process of Marketing Goods and services**
 - **Managing Operations**
 - **Analyzing the environment**
 - **Planning for the future**
 - All managers need to understand the basics of these
- **Middle Ring of the Conceptual Map**
 - **Management Functions**
 - Concerned with the planning and organization of resources to achieve organizational goals (Ex. Sales targets)
 - **Marketing Functions**
 - Deal with customers and all efforts at building and maintaining long-term relationships
 - At the heart of marketing is defining and understanding customers and their buying behavior
 - **Finance Functions**
 - Activities include the Accounting process (keeps records and prepares docs for analysis and use)
- **Business**
 - A broad, all-inclusive term applied to various enterprises
 - All profit seeking activities and enterprises
 - Provider of goods and services necessary to an economic system
 - Goods - tangible, can be physically bought or sold
 - Ex. smart phones, cars
 - Services - intangible, provide benefits to others or assistance from others
 - Ex. insurance, concerts
 - Drives economic pulse of a nation
 - Provides the means for standard of living improvement
 - To succeed, businesses must know what their customers want, and they must supply it quickly and efficiently
 - An exchange between a buyer and seller
- **Profits**
 - Represent rewards earned by business people
 - Who take risks blending people, tech, and info
 - To create and market want-satisfying goods and services
 - **The difference between the cost of creating and selling and what customers pay**
 - Representing savings earned by business people who take risks to meet needs
 - Accountant view - difference between a firm's revenues and expenses incurred in generating those revenues
 - Profits are incentive

Chapter 1: the Changing Face of Business

- Profit provides the incentive to start and expand companies

Non-for-Profit Organizations

- Establishments with objectives other than returning profits to owners
- Some sell merchandise or set up profit making side businesses (Ex. uni bookstore)
- Public service goals > profit

- Operate in both public and private sector
 - Public: government agencies, political parties, labor unions
 - Private: museums, libraries, trade associations, religious organizations

- **Four Factors of Production**

- **Natural resources** - used in production of a good, includes all production inputs that are useful in their natural states (gas, oil, timber, etc)
- **Human resources** - production inputs consisting of anyone who works, both physical labour and intellectual inputs contributed by workers
- **Capital** - includes technology tools (computer and software), info, and facilities
 - To remain competitive must continually acquire, maintain, and upgrade capital
- **Entrepreneurship** - the willingness to take risks and operate a business
 - 4 factors importance - firms need to understand how to reduce the cost of production if they are going to be successful
- **Knowledge** - encompasses the expertise, information, and intellectual capabilities that individuals and organizations use to drive innovation

- **Private Enterprise System**

- An economic system that rewards firms for their ability to identify and serve needs and demands of customers
- **Capitalism is another name**
 - Economic system determines business ownerships, profits, and resources
 - Firms rewarded for their ability to serve needs
 - Minimizes government intervention
- Adam Smith is the father of capitalism
 - Believed in "invisible hand" regulating competition
- To compete firms must provide competitive differentiation
- Competition - battle among businesses for consumer acceptance
- **Competitive differentiation** - unique combination of organizational abilities, products, and approaches that sets apart a company from its competitors in the minds of customers

Basic Rights of capitalism:

Private property:

- The right to own, use, buy, sell, and hand down land, buildings, machinery, equipment, patents, possessions, etc
 - Guarantees the right to all after-tax profits they earn through their activities
 - Although a business is not assured of earning a profit, its owner legally is entitled to any income it makes that is greater than its costs

Freedom of choice:

- Citizens choose their own employment, purchases, and investments. They can change jobs, discuss and agree on wages, join labour unions, and choose among many different brands, goods, and services
 - A private enterprise economy maximizes individual wealth by providing options
 - Other economic systems sometimes limit freedom of choice to accomplish government goals, such as increasing industrial production of certain items or military strength

Canadian government has passed laws to prohibit excessively aggressive competitive practices designed to remove competition

- 1) No price discrimination
- 2) Fraud in financial markets
- 3) Deceptive advertising and packaging

- **Entrepreneur** - a person who seeks a profitable opportunity and takes the necessary risks to set up and operate a business
 - There are ~1.2 million small business in Canada, 98% of all business

- **Most employment in Canada is in the retail sector, followed by manufacturing.**

- **7 Eras in the History of Business**

- **Colonial Period (prior to 1776)** - primarily agricultural
- **Industrial Revolution (1760 - 1850)** - mass production by semi-skilled workers (machine aided)
- **Age of Industrial Entrepreneurs (late 1800s)** - advances in tech and demand for manufactured foods leading to lots of opportunities
- **Production Era (through 1920s)** - emphasis on producing more goods fast, leading to production innovation such as assembly lines
- **The Marketing Era (since 1950s)** - seeking to understand and satisfy needs of consumers
- **Relationship Era (since 1990s)** - benefits derived from deep, ongoing links with individual customers, employees, suppliers, and other businesses
- **Social Era (since 2004)** - businesses interact, connect, communicate, share, and exchange information in virtual communities and networks around the world
- **Consumer orientation** - a business philosophy that focuses first on consumers' unmet wants and needs, and then designs products to meet those needs
- **Branding** - the process of creating in consumers' minds an identity of a good, service, or company
- **Brand** - a name, term, sign, symbol, design, or some combination that identifies the products of one firm and shows how they differ from competitors' offerings
- **Transaction Management** - building and promoting products in the hope that enough customers will buy them to cover costs and earn profits
- **Relationship Management** - collection of activities that build and maintain ongoing, mutually beneficial ties with customers and others
 - Relationship management depends on tech
 - Serving existing customers is much cheaper than acquiring new ones
 - Long term relationships with customers improves the business' understanding of what customers want and prefer from the company

Current Trends

Greater importance of skilled, reliable workers

- Firms need employees who can build strong customer/partner relationships, produce efficiently, compete globally, and adapt to new technology.

Rapid growth of AI

- AI can analyze large amounts of data, identify patterns, and support or automate decisions with limited human intervention.

Faster digital adoption since COVID-19

- Remote work and digital conferencing became much more common.
- Workplaces also saw more awareness of employees' personal circumstances and stress.

Technology is spreading faster than ever

- New platforms can reach massive user bases extremely quickly.
- ChatGPT's rapid growth is used as an example of how fast digital adoption can now happen.

Strategic Alliance:

- A partnership formed to create a competitive advantage for the business involved
 - In international business, a business strategy in which a company finds a partner in the country where it wants to do business

Changes in the Workforce

More generations working together

- Baby Boomers, Gen X, Millennials, and younger workers increasingly overlap in the workplace.

Changing employee priorities

- Millennials tend to place more **value on flexibility, purpose, and work-life balance**, not just pay.
- More interest in freelance, contract, remote, and flexible work arrangements.

Technology changes how people work

- Online collaboration lets employees work and share ideas across different locations and time zones.
- Employers increasingly require **stronger digital and technical skills**.

Hiring is becoming more skill-intensive

- Technology has raised the demand for workers with more advanced and specialized skills.
 -

Canada's aging population

- Flexible work trends
- Balancing flexibility with community and collaboration

Increasing diverse workforce

- ⅓ of Canada's pop growth is due to international immigration (mainly Asia)
 - Employee teams made up of different genders, ethnicities, cultures, religions, ages, and physical/mental abilities are more effective
 - Practical managers also know that attention to diversity issues helps them avoid legal battles that could be very costly

Leader Qualities: VCCA

- **Vision** - ability to perceive marketplace needs and how to satisfy
- **Critical thinking** - ability to analyze and assess information to pinpoint problems or opportunities
- **Creativity** - capacity to develop solution to perceived organizational problems
- **Ability to lead change** - guide employees and organizations through changes, must be comfortable with tough decisions and changing conditions
 - Organizational change can come from internal or external sources

Strong Company = stable profits, growth, safe and challenging work environment, quality, ethics

- **What's Ahead** - new tech, population shifts, emerging nations, shrinking global barriers
- **Outsourcing** - the use of outside vendors to produce goods or fulfill services and functions that were previously handled in-house or in-country
 - Best case: reduces costs and allows a firm to concentrate on what it does best
 - Challenges: differences in language or culture
- **Offshoring** - the relocation of business process to lower-cost locations overseas
 - Can involve both production and services
- **Nearshoring** - the outsourcing of production or services to locations near a firm's home base
- **Crowdsourcing** - enlisting the talent of many people to get work done
 - Allows companies to find workers for a specific task or project in a more efficient and cost effective way, using online marketplaces to hire global talent beyond their own workforce
- **Business Ethics** - standards of conduct and moral values
- **Social Responsibility in business** - Management philosophy that considers society's well-being and consumer satisfaction
 - Apple, Microsoft, and Google listed as one of Fortune's most admired companies

Chapter 2:

ECONOMIC CHALLENGES FACING BUSINESSES TODAY

- **Economics** - a social science that analyzes the choices people and governments make in allocating scarce resources
- **Economic Problem of Scarcity** - refers to the gap between limited (or scarce resources) and limitless wants
 - This forces people to make decisions around efficient resources allocation so that basic needs and additional wants are satisfied
- **Macroeconomics** - study of a country's overall economic issues
 - Addresses such issues as how an economy as a whole uses its resources and how government policies affect people's standard of living
- **Microeconomics** - study of small economic units, such as individual consumers, families, and businesses
 - Individuals weigh on the benefits and costs related to routine purchases before making a decision, all with the desire to maximize benefits and minimize costs
- **Demand** - refers to the willingness and ability of buyers to purchase goods and services at different prices
 - Driven by a number of factors that influence how people decide to spend their money, including price and consumer preferences
 - In general as the price of a good or service goes up, people buy smaller amounts
 - As price rises, quantity demanded declines
 - Demand curves typically slope downward, meaning that buyers will purchase greater quantities of a good or service as its price falls
 - **Demand curve shifts:**

Factor	Demand Curve Shifts	
	To the Right if:	To the Left if:
Customer preferences	Increase	Decrease
Number of buyers	Increase	Decrease
Buyers' incomes	Increase	Decrease
Prices of substitute goods	Increase	Decrease
Prices of complementary goods	Decrease	Increase
Future expectations become more	Optimistic	Pessimistic

- Changes in household income also change demand
 - Consumers have more money to spend, business can sell more
 - Demand curve shifts to the right
 - Income falls, fewer products are made
 - Demand curve shifts to the left
- **Supply** - the amount of goods and services for sale at different prices
 - Supply curve shows the relationship between different prices and the quantities that sellers will supply or offer for sale, regardless of demand
 - As price increases, other things remain constant, a producer becomes more willing and able to supply the good
 - Movement along the supply curve is opposite of movement along the demand curve
 - As prices rise, quantity of sellers are willing to supply also rises
 - As prices lower, the quantity supplied decreases

Supply Curve Shifts		
Factor	To the Right if:	To the Left if:
Costs of inputs	Decrease	Increase
Costs of technologies	Decrease	Increase
Taxes	Decrease	Increase
Number of suppliers	Increase	Decrease

- **Equilibrium price** - the point where the two curves meet / the current market price for an item

Characteristics	Types of Competition			
	Pure Competition	Monopolistic Competition	Oligopoly	Monopoly
Number of competitors	Many	Few to many	Few	No direct competition
Ease of entry into industry by new firms	Easy	Somewhat difficult	Difficult	Regulated by government
Similarity of goods or services offered by competing firms	Similar	Different	Similar or different	No directly competing products
Control over price by individual firms	None	Some	Some	Considerable in a pure monopoly; little in a regulated monopoly
Examples	Small-scale farmer in Ontario	Local fitness centre	Telecommunications companies like Bell and Rogers	Rawlings Sporting Goods, exclusive supplier of Major League baseballs

- **Regulated monopoly** - a market situation in which a local, provincial, or federal government grants exclusive rights to a certain market to a single firm
- **Planned economy** - method of **ORGANIZING** major economic decisions like what gets produced, prices, and business ownership.
- **Socialism** - an economic system characterized by government ownership and operation of major industries, such as communications
- **Communism** - an economic system in which all property is shared equally by the people of a community under the direction of a strong central government
- **Mixed market economies** - economic systems that draw from both types of economics, to different degrees
- **Privatization** - the conversion of government-owned and operated companies to privately held businesses

System Features	Planned Economies			
	Capitalism (Private Enterprise)	Communism	Socialism	Mixed Economy
Ownership of enterprises	Businesses are owned privately, often by large numbers of people. Minimal government ownership leaves production in private hands.	Government owns the means of production with few exceptions, such as small plots of land.	Government owns basic industries, but private owners operate some small enterprises.	A strong private sector blends with public enterprises.
Management of enterprises	Enterprises are managed by owners or their representatives, with minimal government involvement.	Centralized management controls all state enterprises in line with three- to five-year plans. Planning now is being decentralized.	Significant government planning pervades socialist nations. State enterprises are managed directly by government bureaucrats.	Management of the private sector resembles that under capitalism. Professionals may also manage state enterprises.
Rights to profits	Entrepreneurs and investors are allowed to receive all profits (minus taxes) that their firms earn.	Profits are not allowed under communism.	Only the private sector of a socialist economy generates profits.	Entrepreneurs and investors are entitled to receive private sector profits, although they often must pay high taxes. State enterprises are also expected to produce returns.
Rights of employees	Workers have the right to choose their own occupation and to join a labour union. These rights have long been recognized.	Employee rights are limited in exchange for promised protection against unemployment.	Workers may choose their occupations and join labour unions, but the government influences career decisions for many people.	Workers may choose jobs and labour union membership. Unions often become quite strong.
Worker incentives	Considerable incentives motivate people to perform at their highest levels.	Incentives are emerging in communist countries.	Incentives are usually limited in state enterprises but do motivate workers in the private sector.	Capitalist-style incentives operate in the private sector. More limited incentives influence public sector activities.

- **Periods of economic prosperity**
 - Unemployment remains low, consumer confidence about the future leads to more purchases, and businesses expand by hiring more employees, investing in new tech, and making additional purchases to take advantage of new opportunities
- **Recession**
 - A cycle of **economic contraction that lasts for six months** or longer (two consecutive quarters of declining GDP)
 - Consumers frequently postpone major purchases and shift buying patterns toward basic, functional products with low prices.
 - Businesses mirror these changes in the marketplace by slowing production, postponing expansion plans, reducing inventors, and often cutting the size of their workforces
 - People face layoffs, depletion of household savings, much more conservative in their spending - postponing luxury purchases and vacations and they often turn to generic brands and lower-priced retailers such as Dollar Tree
- **Productivity - the relationship between the number of units produced and the number of human and other production inputs necessary to produce them**
 - Machinery almost always delivers a worthwhile productivity boost
 - Can be improved by changing procedures and methods to save time, and therefore money
 - Productivity describes the relationship between the number of units produced and the number of human and other production inputs necessary to produce them.
 - Productivity is a ratio of output to input
When a constant amount of inputs generates increased outputs, an increase in productivity occurs

$$\text{Total Productivity} = \frac{\text{Output (goods or services produced)}}{\text{Input (human/natural resources, capital)}}$$

- Many productivity ratios focus on only one of the inputs in the equations: labour productivity, or output per labour-hour

- Increase in productivity means that the same amount of work produces more goods and services than previously
- Productivity is a widely recognized measure of a company's efficiency

Gross Domestic Product (GDP) - the sum of all goods and services produced within a country's borders during a specific time period, such as a year.

- In other words, the total national output divided by the number of citizens
 - **PPP** method uses the total value of all goods and services produced in the country valued at equivalent prices in the United States
 - This is the measure most economists prefer when looking at per capita welfare and when comparing living conditions or use of resources across countries
 - GDP per capita is better than GDP for measuring the average wealth of any individual citizen of a country

Inflation:

- an economic situation characterized by rising prices caused by a combination of excess consumer demand and increases in the costs of raw materials, component parts, human resources, and other factors of production
 - Devalues money

Core inflation rate:

- the inflation rate of an economy after energy and food prices are removed... this is bc they vary SO MUCH

Funflation:

- Economic trend where consumers prefer spending money on enjoyable entertainment experiences over purchasing tangible goods, leading to increased demand and prices for such experiences
 - Trend fuelled by a desire to reclaim lost time during pandemic-induced lockdowns, has led to a decline in sales for traditional retail giants

Hyperinflation:

- Economic situation characterized by soaring prices

Deflation:

- the opposite of inflation; occurs when prices continue to fall.

Measuring Price Level Changes

- **Consumer Price Index (CPI)** - a measurement of the monthly average change in prices of goods and services
- **Producer Price Index (PPI)** - a measurement of the average change in prices of goods and services received by domestic producers
- **Unemployment rate** - the percentage of the total workforce actively seeking work but currently unemployed
 - Four categories:
 - **frictional unemployment** - applies to members of the workforce who are temporarily not working but are looking for jobs.
 - **seasonal unemployment** - joblessness of workers in a seasonal industry.
 - **cyclical unemployment** - people who are out of work because of a cyclical contraction in the economy
 - **structural unemployment** - people who remain unemployed for long periods of time, often with little hope of finding new jobs like their old ones.

Monetary policy:

- changing interest rates and the money supply to influence the economy.

Expansionary monetary policy:

- More money/lower interest rates → more borrowing and spending → economy grows.

Restrictive monetary policy:

- less money/higher interest rates → less borrowing and spending → slows inflation.

Quantitative easing (QE):

- central bank buys financial assets to put more money into the economy and stimulate growth.

Fiscal policy:

- government changes spending and taxes to influence the economy.

budget - an organization's plan for how it will raise and spend money during a given period of time.

- **budget deficit:**
 - a situation in which the government spends more than the amount it raises through taxes and fees.
- **national debt:**
 - money owed by the government to individuals, businesses, and government agencies who purchase Treasury bills, Treasury notes, and Treasury bonds sold to cover expenditures.
 - Our national debt is about \$1.4 trillion. That works out to about \$33,654 per person. The United States has approximately 341 million citizens and a national debt of \$36.2 trillion. Thus, each American's share of debt is about \$105,972.17
- **budget surplus** - excess funding that occurs when the government spends less than the amount of funds raised through taxes and fees.
 - **balanced budget** - a situation in which total revenues raised and fees equal the total proposed spending for the year.
- **World Economic Forum Global Risks Report**
 - Lists the top global economic risks (and their likelihood and impact) facing the world in the next two years and across the next decade

Global risks ranked by severity over the short and long term

"Please estimate the likely impact (severity) of the following risks over a 2-year and 10-year period."

Risk categories	2 years	10 years
Economic	1 st Misinformation and disinformation	1 st Extreme weather events
Environmental	2 nd Extreme weather events	2 nd Biodiversity loss and ecosystem collapse
Geopolitical	3 rd State-based armed conflict	3 rd Critical change to Earth systems
Societal	4 th Societal polarization	4 th Natural resource shortages
Technological	5 th Cyber espionage and warfare	5 th Misinformation and disinformation
	6 th Pollution	6 th Adverse outcomes of AI technologies
	7 th Inequality	7 th Inequality
	8 th Involuntary migration or displacement	8 th Societal polarization
	9 th Geoeconomic confrontation	9 th Cyber espionage and warfare
	10 th Erosion of human rights and/or civic freedoms	10 th Pollution

***So if an exam question says “**interest rates**” → think **monetary**.
If it says “**taxes or government spending**” → think **fiscal**.

Week 1 — First Lecture

Week 1 — First Lecture

Course Success

- “Pressure is a privilege.”
- **Prepare in advance**
 - Read and attempt material **before class**
 - Learn the textbook content before lectures so you can understand, engage, and participate
- **Keep up to date**
 - Course moves quickly and contains a lot of material
 - Expect approximately **5–10 hours/week**
- **Attend class alert and engaged**
 - Learn to listen while taking useful notes
 - Real life will not always give you lecture slides
- **Tests draw from BOTH slides/textbook and information given separately in class**
- **Everything is testable, but not everything is test-worthy**
 - Pay particular attention to important lessons from guest speakers
- Maintain the mindset of being **ready for a test at any time**
- Quickly review lecture notes/slides after they are posted on Quercus
- Concepts are transferable — focus on actually understanding them rather than simply memorizing

Attention & Productivity

3 R's — create friction around distractions

- **Reach**
- **Roadblocks**
- **Rituals**

SOS — train attention like a muscle

- **Sprints:** Focus intensely for ~15–20 minutes rather than assuming you can maintain perfect focus for 90 minutes
- **Offload:** Go fully dark from distractions/phone; walking can help restore cognitive capacity
- **Save:** Take ~10 seconds of stillness

Networking & Career Success

Sean Mullin — CPA Ontario / networking

- **Your network is your net worth**
- Networking isn't simply **who you know** — it's **who knows you**
- **Be memorable**
- People are not only buying your skills/service; they are buying the **experience of interacting with you**
- **Obstacles aren't barriers to the path — they are the path**
- People may forget what you said or did, but remember **how you made them feel**

How to make conversations better

- **Like first**
 - Positive body language
 - Eye contact
 - Tone and enthusiasm
 - Smile
 - Ask genuine questions
- Focus on the **other person**, not yourself
- **To be interesting, be interested**
- Don't memorize facts just to appear impressive — make people feel heard
- If there's an awkward silence, **ask another genuine question**
- Demonstrate leadership and deliberately build your network
- Reach out to friends and business professionals
- Send meaningful thank-you notes
- Engage with professors

University / Career Lessons

- **Education demonstrates that you can be taught**
- Behaviour modelling can help development
- Professor's first professor/role model mentioned: **Allen Rosentof** (*spelling should be verified*)
- **Atomic Habits** discussed
- Rotman students are recognized for working hard
- Build an overall **learning lifestyle**, rather than treating learning as something that happens only before tests

Assessments

- Quizzes
- Midterm tests
- Final exam
- Assessments may include:
 - Multiple choice
 - Short answer
 - Cumulative material

Office Hours / Opportunities

- One-on-one sessions: **Tuesday mornings, 8–9 AM**
- Group office hours: **Wednesday mornings around 8 AM**
 - Approximately 20 students
 - Drop-in format
 - Can stay/listen rather than needing a specific question
- Book/open office-hour opportunities approximately one week in advance

People / Guest Speakers Mentioned

Ron Monteiro; Linda Ferrandini; Alexa Motut; David Lahey; Sonya Lokey; Tim McNerney; Tara Scott; Anas Ayaz (case competition help); Alan M. Lerner; Howard Behar (former Starbucks executive); Lucas DiPietro.

Verify spellings/titles against Quercus before studying them as factual course content.

Questions I Want to Ask the Professor

- Did you have a role model during university or early in your career?
- What are your thoughts on **fictional role models** and behaviour modelling?
- Given decreasing attention spans, how do you design lectures to maintain student attention?
- What is the most unusual form of cheating you've encountered?
- How significantly has academic dishonesty changed with the rise of AI?

Week 2 - Lecture notes

RSM100 — Business Ownership & Entrepreneurship

1. Business Ownership

Sole proprietorship

- One owner; **owner and business are not legally separate**
- Easy to start/control, owner keeps profits
- Main downside: **unlimited liability** → owner can be personally responsible for business debts

Partnership

- **2+ people operate a business as co-owners**
- Benefit: combine money, skills and expertise
- Downside: share profits/control + potential disagreements
- Khan example: **chef + businessperson** → complementary skills

Corporation

- **Separate legal entity from its owners (shareholders)**
- **Advantages:** limited liability, can raise money by selling shares, perpetual life, easier to grow/recruit
- **Disadvantages:** more regulation/complexity, less flexibility, corporate profits taxed + dividends may also be taxed at shareholder level

Not-for-profit

- Organization whose primary purpose **isn't distributing profits to owners**
- Can still earn revenue/surpluses

2. Corporate Management & Shares

Corporate structure:

Shareholders → Board of Directors → Managers

- **Shareholders:** owners; acquire shares and elect board
- **Board:** elected by shareholders to **oversee the corporation**
- **Officers/managers:** make major decisions and **run day-to-day operations**

Common vs Preferred Shares

Common shares

- Basic ownership shares
- Usually voting rights
- **Most upside + most downside**
- Paid after creditors/preferred claims

Preferred shares → get certain preferences over common shares and **CAN have special features attached:**

Feature	Meaning
Convertible	Can convert → common shares
Cumulative	Unpaid dividends carry over
Participating	Can potentially receive extra dividends/distributions
Callable	Company can buy shares back
Redeemable	Shares can be redeemed according to predetermined terms

☆ **Quiz:** Preferred shares **can** have these features—they don't automatically have all of them.

3. Franchising

Franchisor = owns brand/system

Franchisee = pays to operate using that brand/system

Example: **Tim Hortons**

Benefits to franchisee: established name/trust, proven business model, training/support, cheaper supplies from bulk purchasing, known market/performance history, generally less uncertainty than starting from scratch.

Disadvantages: expensive initial fee + royalties, less creativity/control, must follow corporate rules/products, dependence on franchisor.

Trade-off: less freedom → established brand + support + proven system

4. Financing a Business

Seed capital = initial money needed to launch a business.

Debt Financing = BORROW

Examples: bank loans, credit cards, finance companies, family/friends.

- + Keep ownership/control; interest generally tax-deductible
- Must repay principal + interest; too much debt → bankruptcy/default risk

Equity Financing = SELL OWNERSHIP

- **Angel investor:** individual investing their own money
- **Venture capitalist:** professional group/fund investing in businesses

- + No normal loan repayment/interest obligation
- Give up part of ownership, future upside and potentially control

☆ **Khan bonus-question idea:** Preferred shares can sometimes **behave like debt**. For example, cumulative dividends + redemption features can create debt-like payment obligations even though preferred shares are equity.

5. Entrepreneurship & Small Business

Entrepreneurship: building/operating a business for yourself rather than simply working for someone else for salary.

Important traits/trade-offs:

- **High energy/work ethic** → Flooding Gym example

- **Tolerance for failure/setbacks** → COVID business-owner example
- **Potential independence/financial upside, BUT often sacrifices time, stability and work-life balance**
- **Major reason small businesses fail: poor/no business plan**

Who creates wealth?

- Entrepreneurs
- **SMEs** = small & medium-sized enterprises
- Large corporations
- Government institutions

Who helps small businesses?

- Angels / venture capitalists
- Banks
- Governments → infrastructure, incentives, programs
- **BDC (Business Development Bank of Canada)** → financing, advice and expertise for entrepreneurs

6. David Birch Model

Mice: small businesses

- 94.7% of Canadian companies employ <50 people (slide figure)
- **Flexible**, can change direction quickly
- Often stay small while remaining profitable

Gazelles: rapid-growth firms

- Birch: **~20%+ growth/year for 4 years** → roughly doubles in size
- Often innovative
- **Doesn't have to be a young company**

Elephants: huge established firms

- Think Fortune 500
- Major market power/resources
- Harder to change direction quickly

Mice = small | Gazelles = fast growth | Elephants = huge

7. Coach Case

Problem: too much discounting + too many outlets → weakened Coach's perceived value/exclusivity and created an “**outlet feel.**” Shares fell significantly.

Turnaround: closed underperforming stores, changed leadership, refreshed products, targeted Gen Z/Y2K trends, customization/bag charms, experiences like Coach Café, focused on core categories and broader strategic acquisitions.

Positioning: accessible luxury → not ultra-exclusive, but not cheap/constant-discount either.

Main lesson: excessive discounting can increase short-term sales while **damaging long-term brand value.**

This is the level I'd keep your RSM100 notes at: **enough detail that you can actually learn from them, but every bullet has a reason to be there.**

Chapter 5:

Small business and small forms of business ownership

1. LO 5.1 Discuss why most businesses are small businesses.
2. LO 5.2 Determine the contributions of small businesses to the economy.
3. LO 5.3 Discuss why small businesses fail.
4. LO 5.4 Describe the features of a successful business plan.
5. LO 5.5 Identify the available assistance for small businesses.
6. LO 5.6 Explain franchising.
7. LO 5.7 Outline the forms of private business ownership.
8. LO 5.8 Describe public and collective ownership of business.
9. LO 5.9 Discuss organizing a corporation.
10. LO 5.10 Describe mergers, acquisitions, and joint ventures

Week 2 Notes - Small business and small forms of business ownership

- **Variables affecting how a business is organized**
 - How easily it can be set up
 - Access to financing
 - Its tolerance of financial risk
 - Its strengths and weaknesses
 - The strength and weaknesses of its competitors
- **Small business**
 - An independent business with fewer than 100 employees and revenues less than \$2 million that is not dominant in its market
 - Many businesses fall into a sort of hybrid definition
 - Only really matters when a firm is applying for work, grants, or lands. Then a means test is used to decide which firms qualify
 - Small businesses generate approx. 35% of the nation's GDP
 - Account for more than half of new jobs
- **Many small business have closed due to ecommerce websites and larger competing operators**
- **21% of all business establishments produce goods while the remaining ones provide a service**
 - Small firms make up 98% of goods-producing businesses and 98% of all service-producing businesses
 - Majority of small business are concentrated in 5 industries
 - Retail trade, construction, professional, scientific, and technical services
 - Most of Canada's farms are owned by individual farmers or families
- **Home-based businesses**

- Firms operated from the residence of the business owner
- **Management shortcomings**
 - One of the most common causes of small-business failure is mismanagement or management inexperienced
 - Managers may be overconfident in their abilities, not have the right people skills, be poor at judging competition, or simply not have enough time to do everything that needs to be done.
 - Small businesses can increase their chances of success by:
 - learning the principles of business
 - knowing the industry they operate in
 - developing good interpersonal skills
 - understanding their own limitations
 - hiring motivated employees
 - seeking professional advice on finance, regulations, and other legal matters
- **Inadequate Financing**
 - First-time business owners often believe that their firms will make enough money from their initial sales to finance continuing operations. However, a business takes time and perseverance, products need to be developed, employees need to be hired, a website needs to be constructed, distribution needs to be planned, etc. most small businesses, even those with minimal start-up costs, sometimes don't turn a profit for months or even years

Most small businesses get their start-up money from commercial banks and other financial institutions.

- This type of financing includes credit lines and loans for non-residential (commercial) mortgages, vehicles, specialized equipment, and leases
 - Credit card financing is also an important source for small businesses, but they have high interest rates
 - The heaviest user of credit cards are firms with fewer than 10 employees
- **Government regulations**
 - Small businesses often struggle with government regulations because they don't have the level of resources that large firms do dedicated to this requirement
- **Business Plan**
 - A formal document that details a company's goals, methods, and standards
 - Business plans give the organization a sense of purpose
 - A typical business plan includes:

An **executive summary:**

- What briefly answers the who, what, where, when, why, and how questions for the business

An **introduction:**

- That includes a general statement of the concept, purpose, and objectives of the business

Separate **financial and marketing sections:**

- That describe the firm's target market, its marketing plan, and detailed financial forecasts of the need for funds and when the firm is expected to break even, which is the level of sales where revenues equal costs

Résumés of principals—resumes of the key people who will own/manage the business.

- An effective business plan includes the five sections above, contains the company's mission, and addresses the following issues:
 - The company's mission and the vision of its founders
 - An outline of why the company is unique
 - The customers
 - The competition
 - Financial evaluation of the industry and market conditions
 - Assessment of the risks

• **Business Development Bank of Canada (BDC)**

- A government agency that assists, counsels, and protects the interests of small businesses in Canada.
 - Created by an act of Parliament in 1944
 - Operates across Canada through offices and resource centres that provide long-term financial assistance and management counseling.
 - Also provides training, technical assistance, and education to help small business prepare or doing business in foreign markets
 - The BDC offers individual counselling, courses, conferences, workshops, and a wide range of publications
 - The BDC's management courses cover all functions, duties, and roles of managers.
 - Instructors may be teachers from local colleges or universities or they may be management consultants, bankers, lawyers, or accountants
 - Fees for these courses are low
 - Most pop course is a general survey of 8 to 10 areas of business management

• **Financial Assistance**

- Most small businesses borrow directly from Canada's financial institutions. These banks, trust companies, and credit unions actively support lending money to small businesses

The Canada Small Business Financing Program (CSBFP) is typical of federal and provincial government assistance

- When a bank lends money to a small business and is not paid back, the government will guarantee payment for as much as 85% of the loan (decreasing the interest since know get back)

- BDC helps higher-risk firms: gov own bank that helps small businesses with financing, advice, training, and counselling
 - Eligible small businesses **must** be operating for profit in Canada and must have annual gross revenues **less than \$10 million**

Business Incubators

- A local program designed to provide low-cost, shared business facilities to small start-up companies
 - Canadian Association of Business Incubation is a national association of member organizations.
 - It supports the growth of new and early stage businesses
 - Heavily integrated with American-based programs, which look for promising new businesses wherever they may be in North America
 - More than 1250 business incubator programs operate in North America, with about 7,000 worldwide
 - 93% are run by not-for-profit organizations focused on economic development
 - Nearly half of all incubators focus on new tech
- **Private Investors**
 - **Venture capital**
 - Money invested in a business by another business or group of individuals in return for an ownership share
 - **Crowdfunding**
 - Financing method that involves raising small amounts of money from a large number of people, typically via online platforms, to support a specific business venture
- **Franchising**
 - A contractual business arrangement between a manufacturer or other supplier and a dealer, such a restaurant operator or retailer
 - The average franchise fee is about \$25,000 and the average franchisee investment is between \$150,000 and \$200,000.
 - Of all franchises opened in Canada within the last 5 years, 86% are under the same ownership, and 97% are still in business
 - Ontario leads the rest of Canada in franchising with 65% of Canadian franchise based in that province
 - Franchises have been growing with over 179% growth in retail, 141% in business to business, and 123% in consumer services
 - The restaurant sector realizes 35% of its sales from franchises, 45% in retail

Ways to incorporate

- Incorporation of a business can be done at the federal or provincial level
 - The Corporate Charter

- legally, if you incorporate provincially, your corporation has the right to carry on business only in the province where your business is incorporated. This rule is not a problem for businesses that have a fixed location, but it might be a problem for others.
 - Federally incorporated businesses are permitted to operate everywhere in Canada.

Now... how are corporations managed?

- **Share holders**
 - Owners of a corporation as a result of their purchase of share in a corporation

Common shares? you get to vote on issues, but less dividends....

Preferred shares? Special share types, but with some unique perks...

○ Preferred shares

- limited voting rights, they receive dividends before the holders of common shares
- If the corporation is dissolved, the owners of preferred shares also have first claims on assets once all debtors are repaid
 - **Convertible** — can be converted into common shares
 - **Redeemable** — shareholder can **redeem shares for cash** under specified terms
 - **Participating** — gets preferred dividend + can share in extra dividends
 - **Cumulative** — unpaid dividends **carry over**
 - **Callable** — company can **buy the shares back** at a stated price

Why pay dividends?

Reinvest profits → try to grow the company → potentially increase share value → shareholder becomes wealthier “on paper.”

Pay dividends → give shareholders cash now.

*or pay both, so more balanced approach.

○ Common Shares

- If the corporation is dissolved, the owners of preferred shares also have first claims on assets once all debtors are repaid

Shareholders = own

↓ elect

Board of Directors = govern/oversee

↓ oversees

Top management = sets strategy/runs company

↓

Middle management = runs departments

↓

Supervisory management = manages workers/day-to-day operation

- **Certified Benefit Corporations**

- Type of for-profit corporate entity that includes a positive impact on society and the environment as part of its defined goals

- **Merger**

- An agreement in which two or more firms combine to form one company

- **Vertical merger**

- A merger that combines firms operating at different levels in the production and marketing process

- **Horizontal merger**

- A merger that joins firms in the same industry for the purpose of diversification, increasing customer bases, cutting costs, or expanding product lines

- **Conglomerate merger**

- A merger that combines unrelated firms, usually with the goal of diversification, increasing sales, or spending a cash surplus to avoid a takeover attempt

- **Acquisition**

- An agreement in which one firm purchases another

- **Joint venture**

A partnership between companies formed for a specific undertaking

Small business: a small business is a independently owned business that has fewer than 10 employees and revenues less than \$2 million. A business is classified as LARGE when its number of employees or revenue EXCEEDS these standards.

In what industries do small businesses play a significant role? Small businesses provide many jobs in construction, retail trade, and health care services

What are the contributions of small businesses to the economy?

Small businesses create new jobs and new industries, often hiring people who have difficulty finding jobs at larger firms. Small firms also provide the flexibility to develop new ideas by giving that opportunity in the first place. These ideas could become entirely new industries. Therefore small businesses develop new or improved goods and services.

What are the three ways that small businesses contribute to the economy?

- 1) Small businesses create jobs
- 2) Create new opportunities
- 3) Provide innovation

How are new industries formed?

New industries are formed when small businesses shift their focus to meet consumer interests and preferences. Innovation and new technology can significantly help this. In addition, new industries can be created when both the BUSINESS WORLD and CONSUMERS see a need for change.

Discuss why small businesses fail?

96% of small businesses that enter the marketplace are in business for one full year, 85% are in business for three years, and 70% are in business for 5 years. Failure is a result of management inexperience, inadequate financing, and difficulty meeting government regulations!

What percentage of small businesses are still operating five years after starting?

- 70% after 5 years

What are the three main causes of small-business failure?

Small business failure= management inexperience, inadequate financing, and difficulty meeting gov regulations!

A successful business plan?

- 1) Executive summary
- 2) Introduction
- 3) Financial and marketing sections
- 4) Resumes of the business principles

- Uses these 5 sessions and includes the company's mission, outline of what makes the company unique, identification of customers and competitors, financial evaluation of the industry and market, and an assessment of the risks!

●

Why is an effective business plan important to the success of a firm?

- Then our firm can be successful since it has clearly written how the company's mission will address many issues, including a clear statement of the founders values and why the company is unique. It is ALSO the document needed to obtain financing. The business plan also creates a framework for the organization.

What assistance is there for small businesses?

- The business development bank of Canada is a government agency that assists, counsels, and protects the interests of small businesses in Canada.
- The BDC was created by an act of parliament in 1944. They provide long-term financial assistance and management counselling.
 - The BDC will also provide training, technical assistance, and education to help businesses enter foreign markets. Statistics show that most failures in small businesses happen because of poor management.

Therefore BDC works to improve management skills of small-business owners and managers.

What are the various ways the BDC helps small businesses? The BDC provides long-term financial assistance and management counselling. It also provides business information, advice, and training to owners of small businesses.

What are business incubators? Business incubators are programs that community agencies set up to help small businesses get started. Their services can include low-cost rental space, shared clerical staff, and shattered office equipment such as computers.

Why are small businesses good opportunities for women and minorities?

- Many women feel they can achieve more as small business owners and can balance family and work more easily if they own their own first.
- Minority business owners can appeal to a wider customer base by adding diversity to goods and services available to local communities.

What is franchising?

- Franchisor is a large firm that allows a small business owner (franchisee) to market and sell the larger firm's products under its NAME IN RETURN FOR A FEE.
 - The franchisor's opportunities include the possibilities of expansion and greater profits
 - The franchisee's benefits include name recognition, quick start-up, support from the franchisor, and the freedom of small-business ownership

What are the forms of private ownership?

- 1) Sole proprietorships - owned and operated by 1 person. Easy to set up and great operating flexibility, however owner is personally liable for owning and running the business

- 2) Partnerships: two or more individuals share responsibilities for owning and running the business. Partnerships are relatively easy to set up, but do not protect either partner from liability.
- 3) Corporations: separate legal entity from its owners. Investors receive shares of stock in the firm, and owners have no legal or financial liability beyond their individual investments. The legal structure of a not-for-profit corporation requires that its goals do not include earning a profit.

What is the main characteristic of a not-for-profit corporation? A not-for-profit corporation is an organization whose goals do not include pursuing a profit. Governments have separate legal provisions for organizational structures and operations of not-for-profit corporations. They are also exempt from paying income taxes.

What is the main characteristic of a not-for-profit corporation? A not-for-profit corporation is an organization whose goals do not include pursuing a profit. Governments have separate legal provisions for organizational structures and operations of not-for-profit corporations. They are also exempt from paying income taxes.

Public ownership = a government unit or agency owns and operates an organization

Collective ownership = sets up an organization called a co-operative. The owners join forces in all or part of the activities in their firm or industry! These are frequently found among agricultural businesses, but also in retail. **They allow small firms to pool their resources, share equipment and expertise, and help each other through difficult times.**

Discuss organizing a corporation:

- Shareholders are the owners of a corporation - in return for their financial investments they receive a stock in the company. Shareholders elect a board of directors, who set overall policy. The board hires the chief executive officer, who then hires managers.

What are the two key elements of the incorporation process?

- 1) Where to incorporate?
- 2) And the corporate charter

Identify the five main levels of corporate ownership and management?

- 1) Shareholders
- 2) Board of directors
- 3) Top management
- 4) Middle management
- 5) Supervisory management

Describe mergers, acquisitions, and joint ventures:

- 1) **Merger** = 2 companies combine into **one company**

→ Company A + Company B → Company AB

Example: Two local clothing companies combine and become one larger clothing company.

- 2) **Vertical merger** = companies at **different stages of producing/selling the same product** combine
Example: A **car manufacturer merges with a parts supplier**.
→ Supplier → Manufacturer = different levels of production.
- 3) **Horizontal merger** = companies that are **competitors in the same industry** combine
Example: Two **competing pizza chains** merge.
→ Same product, same stage, same industry.
- 4) **Conglomerate merger** = companies in **completely unrelated industries** combine
Example: A **clothing company merges with a software company**.
→ Their businesses have basically nothing to do with each other.
- 5) **Acquisition** = one company **buys another company**
Example: Company A buys Company B → Company A now owns Company B.
→ Unlike a merger, it's basically **buyer + purchased company**.
- 6) **Joint venture** = two companies **stay separate**, but work together on **one specific project/business opportunity**
Example: A hotel company and an airline create a **travel-package business together**.
They still remain separate com

Horizontal = SAME level

Vertical = DIFFERENT levels

Conglomerate = UNRELATED

Acquisition = BUY another company

Joint venture = WORK TOGETHER on a project

Merger = COMBINE into one

Chapter 6:

Chapter 6: Entrepreneur and Starting a Business

- **Entrepreneur**

- A person who seeks a profitable opportunity and takes the necessary risks to set up and operate a business
 - May also perform a managerial role, but their main responsibility is to use the resources of their organization's employees, money, equipment, and facilities to accomplish their goals
 - **Common traits:**
 - willingness to take on risks of starting a new venture
 - Vision
 - high energy level
 - need to achieve
 - self confidence and optimism
 - tolerance for failure
 - Creativity
 - tolerance for ambiguity
 - internal locus of control (the belief that your own actions, choices, and efforts directly determine the outcomes and events in your life)

- **Managers**

- Are employees who direct others to reach an organization's goals.
- Owners of some small start-up firms work as owner-managers to carry out their plans for their businesses and to make up for human resource limitations at their new companies

- **Classic Entrepreneur**

- A person who identifies a business opportunity and allocates resources to gain access to that market

- **Serial Entrepreneur**

- A person who starts one business, runs it, and then starts and runs more businesses, one after another

- **Social Entrepreneur**

- A person who recognizes societal problems and uses business principles to develop innovative solutions

- **Past few decades have brought an increased interest in entrepreneurial careers, created in part by publicity celebrating the successes of technology entrepreneurs**

- Some choose to become entrepreneurs for many different reasons:
 - Some are motivated by dissatisfaction with the traditional work setting

- Wanting a more flexible schedule or freedom to make all of the decisions
 - Others launch businesses to fill a gap in goods and services they could use themselves
 - Others start their own firms out financial necessity
 - **Being your own boss** is one of the biggest reasons
 - **Financial success**, entrepreneurs create wealth, many start their ventures with specific goals of becoming rich.
 - **Job security**
 - **Quality of life**
- **Lifestyle entrepreneur**
 - A person who starts a business to gain flexibility in work hours and control over their life
- **Selecting a business idea**
 - (1) find something you love to do and are good at doing
 - (2) find an idea that meets a need in the marketplace
 - People willingly work hard doing something they love, and the experience will bring personal fulfillment
- **Buying an existing business**
 - Some entrepreneurs prefer to buy an established business instead of taking on of the risks of starting a new one
 - **Advantages**: employees are already in place to serve regular customers and to deal with familiar suppliers, the good or service is already known in the marketplace, and the necessary permits and licenses have already been obtained, easier to get financing
- **Seed capital**
 - Initial funding needed to launch a company
- **Debt financing**
 - Borrowed funds that entrepreneurs must repay
 - Credit cards
 - Family and friends
 - Bank loans
 - Finance companies
- **Equity financing**
 - Funds invested in new ventures in exchange for part ownership
 - **Venture capitalists**
 - **Angel investor**
 - * bonus test question Equity can be debt
 - Having cumulative preferred shares (is like having to pay interest) and having them be redeemable means that they can come back and ask for their money
- **Angel investor**

- Wealthy individuals who invest directly in new ventures in exchange for an equity stake
- **Intrapreneurship**
 - The process of promoting innovation within the structure of an existing organization

- **Skunkworks**

- A project initiated by an employee who conceives of an idea, convinces top management of its potential, and then recruits human and other resources from within the company to turn the idea into a commercial project

Employee gets an idea → convinces top management it's worth trying → company gives them people/money/resources → small team develops the idea into a real product/business project.

- **Business Sizes**

- **Mice**

- Small, agile

- **Gazelles**

- Mid sized

- **Elephants**

- Fortune 500

SUMMARY CHAPTER 6 ONLINE:

- **Entrepreneur** = Unlike small business owners, entrepreneurs are risk takers who run their businesses with a major goal of expansion and growth. Visionaries who seek profitable opportunities and take the initiative to gather the resources they need to start their businesses quickly.

How do entrepreneurs create new businesses? Entrepreneurs combine their ideas and drive with money, employees, and other resources to create a business that meets a market need.

How do entrepreneurs differ from managers? Managers are employees who direct the efforts of others to reach an organization's goals. Entrepreneurs have the drive and impatience that make their companies successful. These qualities may **hurt** their ability to manage!

Identify categories of entrepreneurs:

- **Classic** - Starts one business and focuses on that **one** specifically.
- **Serial** - Repeatedly starts businesses, often moving from one to another after one fails/succeeds.
- **Social entrepreneurs** - Start businesses to solve a social or environmental problem while using real business methods.
 - Example: Company selling affordable water filters in areas without clean water.

What is the difference between a classic entrepreneur and a serial entrepreneur? A classic entrepreneur identifies a business opportunity and allocates available resources to tap that market. A serial entrepreneur starts one business, runs it, and then runs additional businesses in succession.

Describe a social entrepreneur.

- A social entrepreneur recognizes a social problem and uses business principles to develop innovative solutions.

What are the four main reasons people choose to become entrepreneurs?

- People usually choose to become entrepreneurs because they want to be their own boss, they believe they will achieve greater financial success, they believe they will have more control over job security, and they want to enhance their quality of life.

What is a lifestyle entrepreneur?

- A lifestyle entrepreneur is a person who starts a business to gain flexibility in work hours and control over their own life.

Discuss the environmental factors that lead to success for entrepreneurs?

- A favourable public perception, availability of financing, the falling cost and widespread availability of information technology, globalization, entrepreneurship education, and changing demographic and economic trends all contribute to a fertile environment for people to start new ventures.

What opportunities does globalization create for today's entrepreneurs?

- The rapid globalization of business has created many opportunities for entrepreneurs. For example, they can market their products abroad and hire international workers.

Identify the education factors that help expand current opportunities for entrepreneurs.?

- Many universities offer majors in entrepreneurship, dozens of others offer entrepreneurship emphases, and many more offer courses in how to start a business. Some organizations encourage and teach entrepreneurship, such as the Ewing Marion Kauffman Foundation and Enactus.

Describe the current demographic trends that suggest new goods and services for entrepreneurial businesses?

- The aging of the North American population, increasingly diverse ethnic groups, and predominance of two-income families are creating opportunities for entrepreneurs to market new goods and services.

Identify the characteristics of successful entrepreneurs?

- Successful entrepreneurs share several typical traits, including vision, high energy level, the need to achieve, self-confidence and optimism, tolerance for failure, creativity, tolerance for ambiguity, and an internal locus of control.

What is meant by an entrepreneur's vision?

- Entrepreneurs begin with a vision, which is an overall idea for how to make their business idea a success.

Why is it important for an entrepreneur to have a high energy level and a strong need for achievement?

- Startup companies usually have a small staff and have a difficult time raising enough capital. The entrepreneur needs to make up the difference by working long hours. A strong need for achievement helps entrepreneurs enjoy the challenge of reaching difficult goals. It also promotes dedication to personal success.

How do entrepreneurs generally feel about the possibility of failure?

- Entrepreneurs view failure as a learning experience and are not easily discouraged or disappointed when things don't go as planned.

Summarize the process of starting a new venture?

- Entrepreneurs must choose an idea for their business, develop a business plan, obtain financing, and organize the resources they need to operate their startups.

What are the two most important considerations when choosing an idea for a new business?

- The two most important considerations are finding something you love to do and are good at doing, and finding an idea that meets a need in the marketplace.

What is seed capital?

- Seed capital is the money that is used to start a company.

What is the difference between debt financing and equity financing?

- Debt financing is money borrowed that must be repaid. Equity financing is an exchange of ownership shares in a company for money supplied by one or more investors.

Explain intrapreneurship?

- Intrapreneurship is the process of promoting innovation within the structure of an established company.

Why do large companies support intrapreneurship?

- Large firms support intrapreneurship to keep an entrepreneurial spirit and promote innovation.

What is a skunkworks?

- A skunkworks is a project initiated by an employee who has an idea, then recruits resources from within the company to turn the idea into a commercial product.

Business Terms You Need to Know

Angel investor

- Wealthy individuals who invest directly in new ventures in exchange for an equity stake.

Classic entrepreneur

- A person who identifies a business opportunity and allocates resources to gain access to that market.

Debt financing

- Borrowed funds that entrepreneurs must repay.

Entrepreneur

- A person who seeks a profitable opportunity and takes the necessary risks to set up and operate a business.

Equity financing

- Funds invested in new ventures in exchange for part ownership.

Intrapreneurship

- The process of promoting innovation within the structure of an existing organization.

Lifestyle entrepreneur

- A person who starts a business to gain flexibility in work hours and control over their life.

Seed capital

- Initial funding needed to launch a company.

Serial entrepreneur

- A person who starts one business, runs it, and then starts and runs more businesses, one after another.

Skunkworks

- A project initiated by an employee who conceives of an idea, convinces top management of its potential, and then recruits human and other resources from within the company to turn the idea into a commercial project.

Social entrepreneur

- A person who recognizes societal problems and uses business principles to develop innovative solutions.

Venture capitalist

- Business organizations or groups of individuals that invest in early-stage or growing businesses in exchange for an ownership stake.

Week 3 - Lecture notes

Ron Monteiro - keynote speaker, author, trainer
Linda Ferrandini - Brand Strategy, Storytelling & people

Quiz:

- After class
- 5:20-5:50
- Everything up to and including this week
- 30 minutes to include

-everything to date is testable including...:

- Lecture slides, case studies, guest, lectures, readings, self study, appendices
- Sessions 1-3

Format:

- MCQ
 - From the lecture/textbook
 - From the textbook
- Approx 35 questions

You will NOT get extra time to fill out MCQ/Scantron response sheet:

- You must not have any aids like paper or headphones

How to fill out a scantron:

- Write course code
- Write your last name and first name clearly
- Add your signature
- Watch the video and diagrams after class

Will tell us where we will write after class

Email the event coordinators to know how to get there. Prepare for the certain questions to ask them also..

“Management is the work of turning goals into results through people and other resources”

Three levels:

Top management:

- sets direction and makes enterprise-wide decisions. Apple store

Middle manager

- Translates strategy and coordinates across teams and functions

First line management

Contingency plan:

- Restaurant during covid:
 - Plan for when things are good, and when things are BAD
 - Some stores during covid for example became grocery stores!

- Michael Khan's teaching covid examples:
 - Asked to write the exams in person or online
 - But having a camera and microphone on you the whole time. Considered cheating, but weighed the safety of the students and the availability of them (transportation wise). Still wanted an assessment. Omicron shuts down all examples regardless!

Four functions of management function examples:

- Controlling
 - How to ensure no mismarking, clear questions, team leads ensure the marking is efficient. Accurate and no cheating. Marking within budget (not 100 TA's)
- Planning
- Leading:
 - Make sure everyone is working towards a goal... clear board that shares the current marketing system.
- Organizing
 - Where will TA's be there? Where?

Mintzberg's

- 10 managerial roles:

... some focus on the following

- 1) Interpersonal - some make it feel like a dictatorship, some more chill
- 2) Informational - where will this be?
- 3) Decisional - do we have guest speakers? Case comp or no case comp?

PROGRAMMED: Imagine managing a campus coffee shop:

... a best selling item is running low. You need coffee beans. You have an established supplier and ordering process

- Think of any program decisions. Any past help?

UNPROGRAMMED: A second campus offers you space:

Should you open up another location? Demand is uncertain, rent is expensive, and your team is already stretched..flippe says rely on guts, there is no formulas.

Ron Monteiro:

- Get more involved, must build that networking "muscle". This is something that becomes very important. First job at hitachi was an accounting. He struggled since he was not in the extracurriculars.
 - Go into the things that feel natural. Switches from backroom paper pushing, then kraft making direct actions!
 - It takes 1 year to release a new flavour.. Whereas ya ya wanted them today. Big big vs private (appeal fast to the demands)
- Campbells - took care of the people
- Kruger products - paper towel and toilet paper... record breaking!
- Grew up in Kenya - only study. Canada's soft skills are so good.
 - Love Mondays - went on the socials. Same shoes! Started same business

Linda Ferrandini:

- Canadian Tire, Kraft Heinz, financial services at CIBC
 - More marketing, coms, brand side of things. Now she has stepped away and done independent consulting! Copy writing on the side.

Organizational structure focus

- She calls it a living blueprint of the organization
 - Defines how work is divided who has authority, how teams coordinate and where decisions get made

What determines the right structure?

- Every design has trade offs:
 - Structure follows strategy - support what organization is trying to accomplish
- Context matters. Size industry, geography, regulation and life stage of the company all influence the design
- Structures evolve: organization reorganize as their strategy, markets, and complexity change
- Most organizations are hybrid. One pattern may dominate but elements are often combined

Organization structures:

- Functional - grouped by expertise. APPLE
- Divisional - grouped by market, product, or customer group (apple ipads), DISNEY
- Matrix - groups 2 ways functions work across brands, projects, or regions. KRAFT
 - Share expertise. Different perspectives. Adapt to changing environment.. BUT priorities can conflict! 2 diff management.
- Network - a core organization coordinates internal and external partners. NIKE

Design choices influence how that structure operates:

Flat

- Management layers
- Decentralized
- Decisions sit closer to the work
- Agile
- Teams adapt through short work cycles

How to keep 3 bosses happy?

- vp of finance, canada
- Vp of supply chain, Canada
- Vp of supply chain finance

Ron montario director of finance (supply chain)

“Culture eats strategy for breakfast” - Peter Drucker. no matter how good your plan is your groups work will drive it.

Structure tells you how work is supposed to happen = formal organization

CULTURE tells you how work actually happens = lived organization

Edgar Schein's three levels of organizational culture:

- See - what you see and hear. Easy to spot, hard to interpret without context.
- Say - what the organization says matters - its stated mission, goals, values, philosophies and policies
- Believe - what people really believe (underlying assumption)

CIBC - ambitions made real.

CASE STUDY? "A culture built for ambitious problem solving"

- Can't just say it... live it:
 - Set uncomfortably ambitious goals: Public stretch OKRs
 - Protect time for new ideas: "20%" policy. 1/5 time spent on new ideas
 - Study how people work best: project oxygen and project aristotle -

Kraft prototyped this – shift culture to be more innovative. That leader is the ceo of mcdonalds?

RON:

FORD

- Loses 17 million/quarter. All reports is green. Fear of speaking up. He put the red on the page! Made money the next year.

Carrot vs stick

- Incentive vs punishment. BOTH is best. Incentive makes more innovation, fear keeps you in line.

Kraft example good at using both sales:

- Autocratic: 2007, if we hit 7% as a company we will all go to florida. Or caribbean. Makes more tough leadership or can be inspirational for a town hall setting

4 seasons:

Throughout the day managers (any manager) asks if he needs anything and if they could do anything else we do better

Caesar palace: keeps head under the radar since they are very hard on them to reach goals.

- Same person, different customer experience. "Its not the people, its the leadership" frequent/consistent encouragement

Captain america visual of a leader

What makes public culture? What is people management look like?

PETER DRUCKER - management is doing things right; leadership is doing the right things.

Katz's essential managerial skills:

- 1) Technical skills - KNOW THE WORK
- 2) Human skills - WORK THROUGH PEOPLE
- 3) Conceptual skills - SEE THE BIG PICTURE

Boat:

Gets promoted from small boat to big boat from 1700, you need people to manage.

Baseball all the same backcatcher, pats them on the back. LEADER! You dont need to be a manager to be a leader.

Autocratic

Democratic

Transformational

Transactions

Servant

Laissez faire

Coaching

Apply teaching style:

Trump = autocratic

Satya Nadella = coaching

Rihanna = transformational

Howard behar - servant.. Im here ti help you

Sarah blakely - spanx - laissez affair - you own it

Obama - democratic

Remember:

- There is no best way to be a leader
- Developing a signature style takes time
- Some styles may overlap
- It should feel authentic to who you are
- We all have a default style, but strong leaders learn when to flex away from it!

Reflect on your style and your blindspots

Dino bianco = maxwell house to one cup coffee. Before it was popular.

Linda's advice:

- Try different tings. Failure and recovery is essential
- Ther eis a different ebween hard and not right for you. Learn it early
- Focus on making your strength. Only mitigate weaknesses that can hold you back
- Interview our potential boss as they are interieiwnng you
- Wrong on yourself will make you better at work

Ron's advice:

- Develop your vision and goals
- Build a daily routine
- Get out of your comfort zone
- Invest in yourself through personal development
- Be persistent

How do you keep yourself challenged and growing so far into your careers?

Chapter 7:

Chapter 7: Management, Leadership, and the Internal Organization

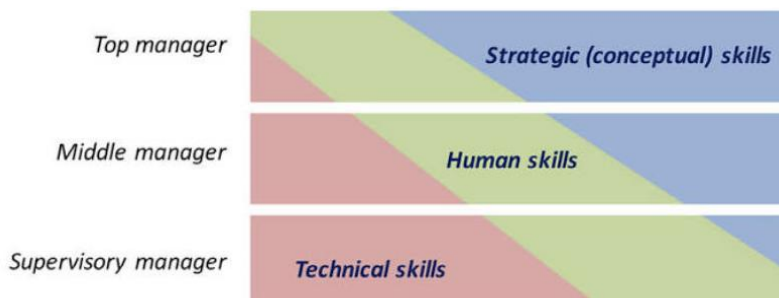
7.1= define management:

3 levels of management:

- **Top management:**
 - Makes the biggest decisions for the company
 - Sets the long-term vision, decides company goals, and shape the overall culture (CEO, CFO, PRESIDENT, ECT)
- **Middle Management:**
 - Turn big goals from top leaders into clear plans for lower managers
 - Focus their attention on specific operations, products, or customer groups within an organization
 - Ex. General managers, plant managers, branch managers, ect.
- **Supervisory (first line) Management**
 - Directly responsible for assigning specific jobs to non-managerial employees and their performance
 - Work directly with the employees who produce and sell the firm's goods and services
 - Responsible for carrying out middle managers' plans by motivating workers to accomplish daily, weekly, and monthly goals
 - Ex. Supervisors, section chiefs, team leads

Skills needed by a manager:

- **Technical skills**
 - Ability to understand and use techniques, knowledge, tools, and equipment
- **Human Skills**
 - Interpersonal skills that help managers work effectively with others:
 - Include: ability to communicate, motivate, collaborate, lead, and emotional intelligence
- **Conceptual Skills**
 - Ability to see the big picture by acquiring, analyzing, and interpreting information and understanding how contributions of each individual unit or function of the organization impacts the whole.



Managerial Functions:

- Planning
 - The process of anticipating future events and conditions and deciding on the courses of action for achieving organizational goals
- Organizing
 - The process of blending human and material resources through a formal structure of tasks and authority by arranging work, dividing tasks among employees, and coordinating them to ensure plans are carried out and goals are met
- Directing
 - Guiding and motivating employees to accomplish organizational goals
- Controlling
 - The function of assessing an organization's performance against its goals

Explain the role of setting a vision and ethical standards

***Vision:**

- The ability to perceive marketplace needs and what an organization must do to satisfy them

7.3 Summarize the importance of planning

Types of planning:

Strategic planning:

- decide the big objective **and what major resources will be committed** to it.

Tactical planning:

- Decide **how those resources will actually be used in the near term.**

Operational Planning:

- Sets the detailed standards that help carry out tactical plans. This activity involves choosing specific work targets and assigning employees and teams to carry out the plans

Contingency Planning:

- This type of planning helps firms resume operations as quickly and smoothly as possible after a crisis. It also makes it easier for them to openly tell the public what happened. Contingency planning activities involve two components:

- 1) Continuing the business
- 2) Communicating to the public

Primary type of planning	Managerial level	Examples
Strategic	Top management	Organizational objectives, fundamental strategies, long-term plans
Tactical	Middle management	Quarterly and semi-annual plans, departmental policies and procedures
Operational	Supervisory management	Daily and weekly plans, rules and procedures for each department
Contingency	Primarily top management, but all levels contribute	Ongoing plans for actions and communications in an emergency

7.4: Describe the strategic planning process:

Mission Statement:

- A written description of an organization's overall business purpose and aims
 - A good mission statement states the firm's purpose for being in business and its overall goal. The most effective mission statements are those that people remember

SWOT Analysis:

- An analysis of a firm's strengths, weaknesses, opportunities, and threats, compared with its competitors, which allow a firm to develop the best strategies for gaining a competitive advantage.

Objectives:

- Guideposts by which managers define the organization's desired performance in such areas as new-product development, sales, customer service, growth, environmental and social responsibility, and employee satisfaction

7.5: Discuss managers as decision makers:

Decision making:

- The process of seeing a problem or opportunity, assessing possible solutions, selecting and carrying out the best-suited plan, and assessing the results

Programmed decision:

- Involves simple, common, and frequently occurring problems that already have solutions. For example, programmed decisions include reordering office supplies, renewing a lease, and referring to an established discount for bulk orders.
 - Programmed decisions are made in advance

Non-Programmed Decision:

- Involves a complex and unique problem opportunity and has important results for the organization
- Non-programmed decisions include entering a new market, deleting a product from the line, or developing a new product

7.6 - Discuss managers as decision makers

Leadership: The ability to direct or inspire people to reach goals

... leadership styles?

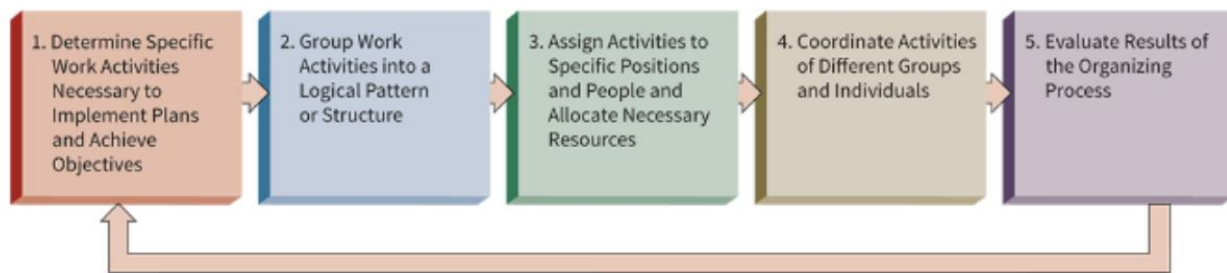
- **Autocratic leadership:**
 - **Centered on the boss.** Autocratic leaders make decisions on their own without consulting employees
 - They make decisions, communicate the decision to employees, and expect the decisions to be carried out right away
- **Democratic leadership**
 - Includes subordinates in the decision-making process. This leadership style centres on employees' contributions. Democratic leaders delegate assignments and projects, ask employees for suggestions, and encourage participation
 - Aim for **empowerment** - giving employees shared authority, responsibility, and decision making with their managers
- **Free-rein Leadership:**
 - **Believes in minimal supervision.** They allow employees to make most of their own decisions. Free-rein leaders communicate with employees frequently

7.7 - Discuss Corporate Culture

- Corporate culture:
 - An organization's collection of principles, beliefs, and values

7.8 - Identify Organizational Structures

- Organization:
 - A structured group of people working together to achieve common goals



Departmentalization - The process of dividing work activities into units within the organization:

- **Product departmentalization:**
 - This approach organizes work units based on the goods and services a company offers
- **Geographical departmentalization:**
 - This form organizes units by geographical regions within a country or, for a multinational firm, by region throughout the world
- **Customer departmentalization:**
 - Customers departmentalization might be used by a firm that offers a variety of good services for different types of customers
- **Functional departmentalization**
 - Some firms organize work units according to business functions, such as finance, marketing, human resources, and production
- **Process departmentalization:**
 - Some goods and services require multiple work processes to complete their production
 - A manufacturer may set up a separate department for cutting material, heat-treating it forming it into its final shape and painting it

Delegation:

- The managerial process of assigning work to employees

Span of management:

- The number of employees a manager supervises. These employees are often referred to as *direct reports*

Centralization

- Keeps decision making at the top of management hierarchy

- **Types of organization structures:**
 - Line Organizations:

- The oldest and simplest organization structure is a line organization. It sets up a direct flow of authority from the chief executive to the employees. The line organization defines a simple, clear chain of command that establishes a hierarchy of managers and workers.
- Line-and-staff Organizations:
 - Combines the direct flow of authority of a line organization with staff departments that support the line departments. The line department helps to make decisions that affect the firm's core operations.
- Committee organization:
 - A structure that places authority and responsibility in a group of individuals, not a manager.
 - This model often appears as part of a regular line-and-staff structure
- Matrix organization
 - Links employees from different parts of organization who work together on specific projects
 - In the matrix structure, each employee reports to two managers:
 - 1) Line manager
 - 2) One product manager
 - a) Employees who are working on a special project receive instructions from the project manager (horizontal authority), but they continue as employees in their permanent functional departments (vertical authority)

Vertical authority = permanent department manager

Horizontal authority = project manager across different departments

Memory hook:

Matrix = two reporting lines: department boss + project boss.

Chapter 8:

Chapter 8: Human Resource Management - From recruitment to Labour Relations

8.1 Explain the role of human resources?

Human resource management:

- The function of attracting, developing, and retaining employees who can perform the activities needed to accomplish organizational objectives

Achieve the following objectives:

- Provide qualified, well-trained employees for the organization
- Maximize employee effectiveness in their organization
- Satisfy individual employee needs through monetary compensation, benefits, opportunities to advance, and job satisfaction

8.2 Describe recruitment and selection?

Recruitment and selection process:

1) Step one: Human Resource Inventory (skills inventory)

- a) Contains employee data such as age, gender, education, experience, training, and specialized skills; also called a skills inventory

2) Step 2: job analysis

- a) A process to identify and determine in detail the particular job duties and requirements and the relative importance of these duties for a given job

This includes:

- **Job description:**
 - Includes information such as job title, location, reporting to and of employees, job summary, nature and objectives of a job, and tasks and duties to be performed
- **Job specifications:**
 - A written statement of the educational qualifications, specific qualities, level of experience, and the physical, emotional, technical and communication skills required to perform a job

8.3 - Discuss orientation, training, and evaluation

On-the-job training:

- This type of training prepares employees for job duties by having them perform tasks under the guidance of experienced employees:
 - A variation of on-the-job training is apprenticeship training. An employee who is an apprentice learns a job by working as an assistant to a trained worker
- Management development:

- Provides training designed to improve the skills and broaden the knowledge of current and future managers and executives
- Performance appraisal:
 - Evaluation of and feedback on an employee's job performance

8.4 - Discuss, orientation, training, and evaluation

- Compensation:
 - The amount employees are paid in money and benefits
- Wage
 - Pay based on an hourly rate or the amount of work accomplished
- Salary
 - Pay based on an hourly rate or the amount of work accomplished

Most firm compensation policies follow these factors:

- 1) what competing companies are paying
 - 2) government regulations
 - 3) The cost of living
 - 4) Company profits
 - 5) An employee's productivity
- Employees benefits:
 - Additional compensation, such as vacation time, retirement savings plan, profit sharing, extended health insurance, gym memberships, child and elder care, tuition reimbursement, paid entirely or in part by the company

8.5 - Discuss Employee Separation

- Employee Separation
 - A broad term for the loss of an employee for any reason, voluntary or involuntary

Turnover:

- Occurs when an employee leaves their job
 - Voluntary turnover:
 - Occurs when the employee decides to resign for their own reasons, perhaps to take another job, start a new business, or retire.
 - Involuntary turnover:
 - Occurs when employees are terminated because of poor job performance or unethical behaviour in their business practices or in the workplace
- Downsizing:
 - The process of reducing the number of employees within a firm by eliminating jobs

- Outsourcing
 - Using outside vendors or contracting work to another party, to produce goods or fulfill services and functions that were previously handled in-house or in-country

8.6 - Explain different methods for motivating employees

Maslow's hierarchy of needs:

- A theory of motivation proposed by Abraham Maslow. According to the theory, people have five levels of needs that they try to satisfy: physiological, safety, social, esteem, and self-actualization

Herzberg's two-factor model of motivation:

- Proposes that job satisfaction and dissatisfaction are driven by two completely separate sets of factors rather than existing on a single opposite scale
 - Hygiene factors (extrinsic)
 - Like pay and working conditions - **only prevent** employee unhappiness but do not actually inspire better work
 - Motivator factor (intrinsic)
 - Recognition, achievement, doing interesting and meaningful tasks, growth and advancement are motivating factors. This helps drive true satisfaction and better performance.
 - Not having them DOES NOT AUTOMATICALLY CREATE DISSATISFACTION THOUGH!

Expectancy theory of motivation: VICTOR VROOM

Think of expectancy theory as asking three questions before someone feels motivated:

1. **Effort → Performance: "If I try hard, can I actually do well?"**
 - This is the "can I do it?" part.
 - Example: If I study 5 hours, do I believe that will actually improve my test mark?
2. **Performance → Reward: "If I do well, will I actually get the reward?"**
 - This is the part your notes make a bit confusing.
 - Example: If I get the highest sales numbers, will my manager actually give me the bonus?
3. **Value of Reward: "Do I even care about the reward?"**
 - Example: A \$500 bonus might strongly motivate one employee, while an extra vacation day might matter more to another.

Equity theory:

- An individual's perception of fair and equitable treatment

Goal setting theory:

- The theory that people will be motivated to the extent to which they accept specific, challenging goals and receive feedback that shows their progress toward goal achievement

Management by objectives (MBO)

- A systematic approach that helps managers focus on attainable goals and achieving the best results based on the organization's resources:
 - Include the following principles:
 - A series of related organizational goals and objectives
 - Specific objectives for each person
 - Participative decision making
 - A set time period to accomplish goals
 - Performance evaluation and feedback
- **Job enlargement:**
 - A job design that expands an employee's responsibilities by increasing the number and variety of tasks. Redesigning the production process is one way to enlarge a job
- **Job enrichment**
 - Expands an employee's job duties to **empower the employee to make decisions and learn new skills leading toward career growth.** A firm might give its managers and sales consultants the power to make decisions about their work, such as how to organize sales presentations and when they prefer to work
- **Job rotation:**
 - Involves a system of moving employees from one job to another. Job rotation increases an employee's range of activities. Workers learn more from jobs and therefore learn more tasks.

Theory X, Theory Y, Theory Z

- **Theory X**
 - Employees **dislike work**, avoid responsibility, and need direction.
 - Managers rely more on **control, instructions, pay, and job security.**

- **Theory Y**
 - Employees can **enjoy work**, take responsibility, and solve problems creatively.
 - Managers give employees more **freedom and involvement in decisions**.
- **Theory Z**
 - Combines ideas from **American and Japanese management**.
 - Focuses on **employee involvement, teamwork, trust, and long-term commitment**.

8.7 - Discuss labour management

Labour union:

- A group of workers who organize themselves to work toward common goals in the areas of wages, hours, and working conditions
 - Found at the local, national, and international levels. A local union represents union members in a specific area, such as a single community.
- A national union is a labour organization consisting of numerous local chapters:
- An international union is a national union with membership outside of Canada, usually in the United States
 - The international Brotherhood of Teamsters is an international union

Collective bargaining:

- The process of negotiation between management and union representatives used by labour unions

Labour union tactics:

- Strike
 - One of the labour union's most effective tools. It involves a **temporary work stoppage** by workers until a dispute has been settled or a contract signed
 - A strike generally seeks to disrupt business by calling attention to workers' needs and union demands
 - Picketing
 - Involves workers marching in a **public protest** against their employee. This activity is another effective form of union pressure... protected under law as long as it does not involve violence or intimidation
 - Boycott:
 - An organized **attempt to keep the public from purchasing** the goods or services of a particular company/business
- Management Tactics:

- **Lockout:** in the past, management has used the lockout. It is a management “strike” to put pressure on union members by closing the firm

Labour Union Future:

- Canada, the United states, western europe, Japan and other developed nations have **shifted from manufacturing economies to information and service economies.** As a result, union membership and influence have stayed stable or declined
- Today, **public sector unions include more than 70 percent** of all employees